PIRANHA PROFITS

Price Action Inside Bar Break Trading Strategy

By: Alson Chew

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PAM INSIDE BAR BREAK (IBB) STRATEGY

Background

PAM Inside Bar Break (IBB) is an optional strategy for trading upside/downside straight line continuation of price action. There is no elements of manipulation as this strategy does not require force top/bottom scenario. Hence, there is no need to check for presence of LP levels. We will discuss the criteria's in the following slides.

Trader need to be familiar with PAM's **3 main EXE** and **inside bar formation**.

Common FAQ for IBB structure

1. Which time frame is suitable for IBB?

Weekly Chart

2. How is IBB different from force strike formation?

For IBB we are trading the break of mother bar high fractal while force strike is a false break of mother bar high. IBB looks similar to force strike formation, however their application is different.

Note: Force strike bar strategy is covered in force strike continuation and reversal lessons.

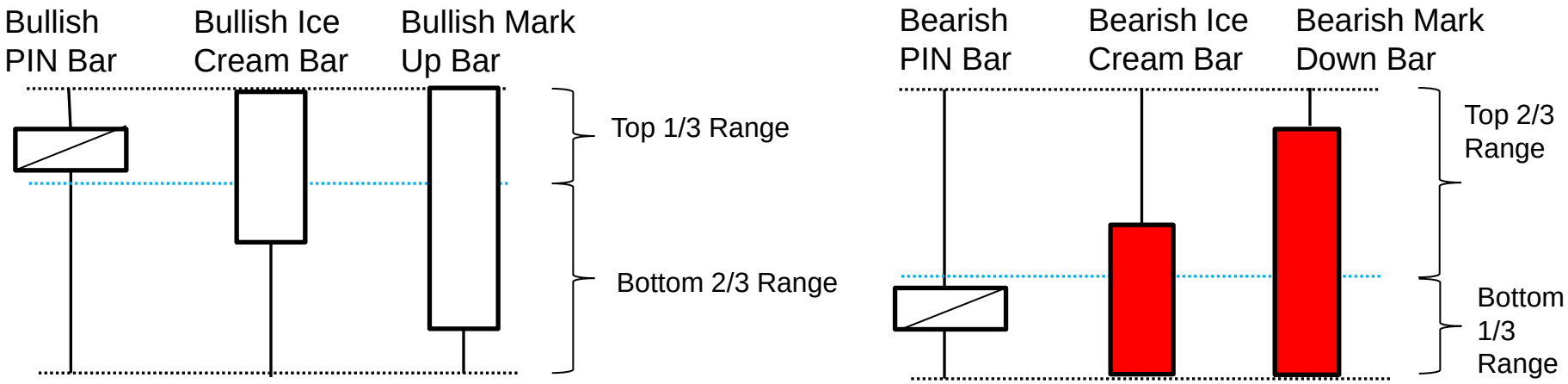
3. How do we know if upside IBB will turn into bearish force strike at key LP level?

Such scenario may happens when inside bar occurs at LP levels. If we are trading a valid upside IBB, we will still go long even if there is presence of LP. We do not need to reference LP levels when trading IBB.

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UNDERSTANDING PRICE ACTION BAR FORMATION

SUMMARY OF THE 3 STANDARD BARS

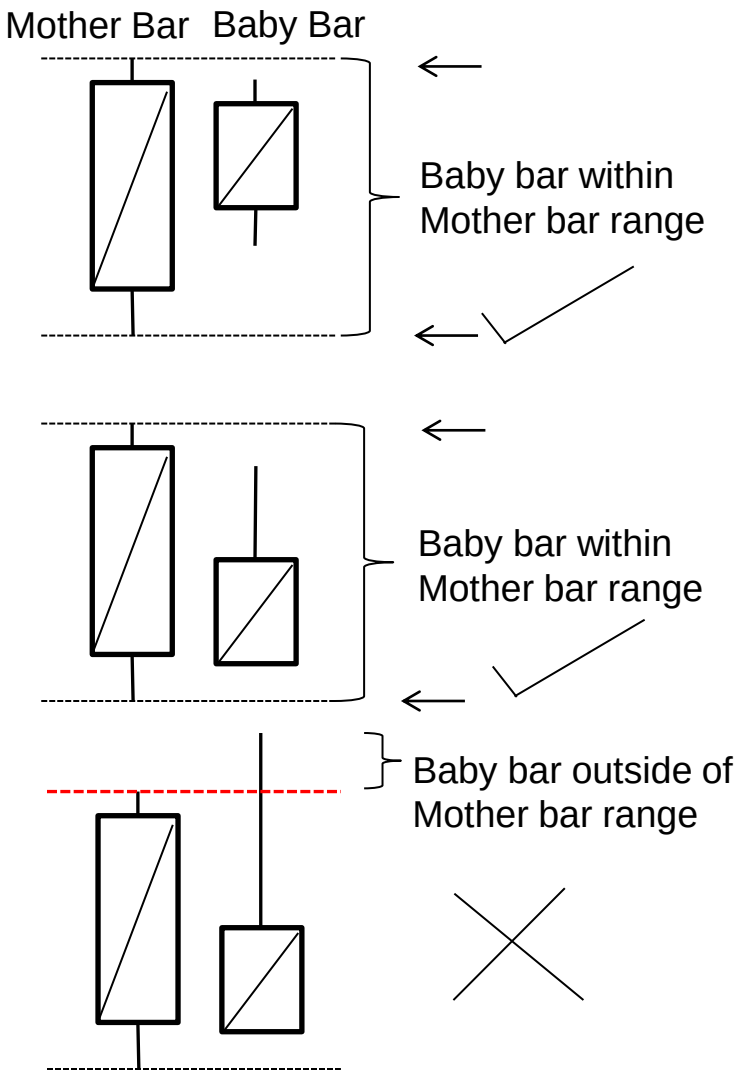


Flush up bar is **visually at least 1.5 times normal bar range** and must be **visually "outstanding".** A guide is that when in doubt, usually it is not outstanding and most likely still considered mark up bar. A flush up bar is bearish to a trader as opposed to mark up bar which is bullish to a trader.

Flush down bar is **visually at least 1.5 times normal bar range** and must be **visually "outstanding".** A guide is that when in doubt, usually it is not outstanding and most likely still considered mark down bar. A flush down bar is bullish to a trader as opposed to mark down bar which is bearish to a trader.

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INSIDE BAR FORMATION – PRELUDE TO FORCE STRIKE FORMATION



CRITERIA

- Baby bar must be **equal or within** Mother bar range
- Mother bar or baby bar can be bullish or bearish

SIGNIFICANCE

- Inside bar shows a period of indecision on the chart
- Inside bar should not be used as an execution sign but a **prelude** to Force Strike bar formation (next slide)

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UPSIDE INSIDE BAR BREAK (IBB) FORMATION

For Trading Upside Price Movement Continuation

1.) Concept of Upside Inside Bar Break (Upside IBB)

Recommended Time Frame: Weekly (4yr 1W)

Characteristic

1.) **Prior upside** price movement followed by IB formation **(defined in the next slide)**
2.) Price action has to be **above 50sma**.
3.) Mother bar has to be one of the **3 bullish EXE.** Baby bar can be any type of bars as long as it is **within** mother bar range.

Entry Rules

4.) Within **next 3 bars** after formation of IB, there must be a **break bar (BB)** that breach the mother bar **high**. Example if the mother bar high is $45.00, long entry should be taken once **break bar** hit $45.00.

Exit Rules

5.) SL at 50% of mother bar range or low of break bar. Trader's discretion based on "tightness" of entry and SL chosen.
6.) Target projection exit based on 1.5 RR. Use find target in PAM excel to determine size and exit upside target price.

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UPSIDE INSIDE BAR BREAK (IBB) FORMATION



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DOWNSIDE INSIDE BAR BREAK (IBB) FORMATION

For Trading Downside Price Movement Continuation

1.) Concept of Upside Inside Bar Break (Downside IBB)

Recommended Time Frame: Weekly (4yr 1W)

Characteristic

1.) **Prior downside** price movement followed by IB formation **(defined in the next slide)**
2.) Price action has to be **below 50sma**.
3.) Mother bar has to be one of the **3 bearish EXE.** Baby bar can be any type of bars as long as it is **within** mother bar range.

Entry Rules

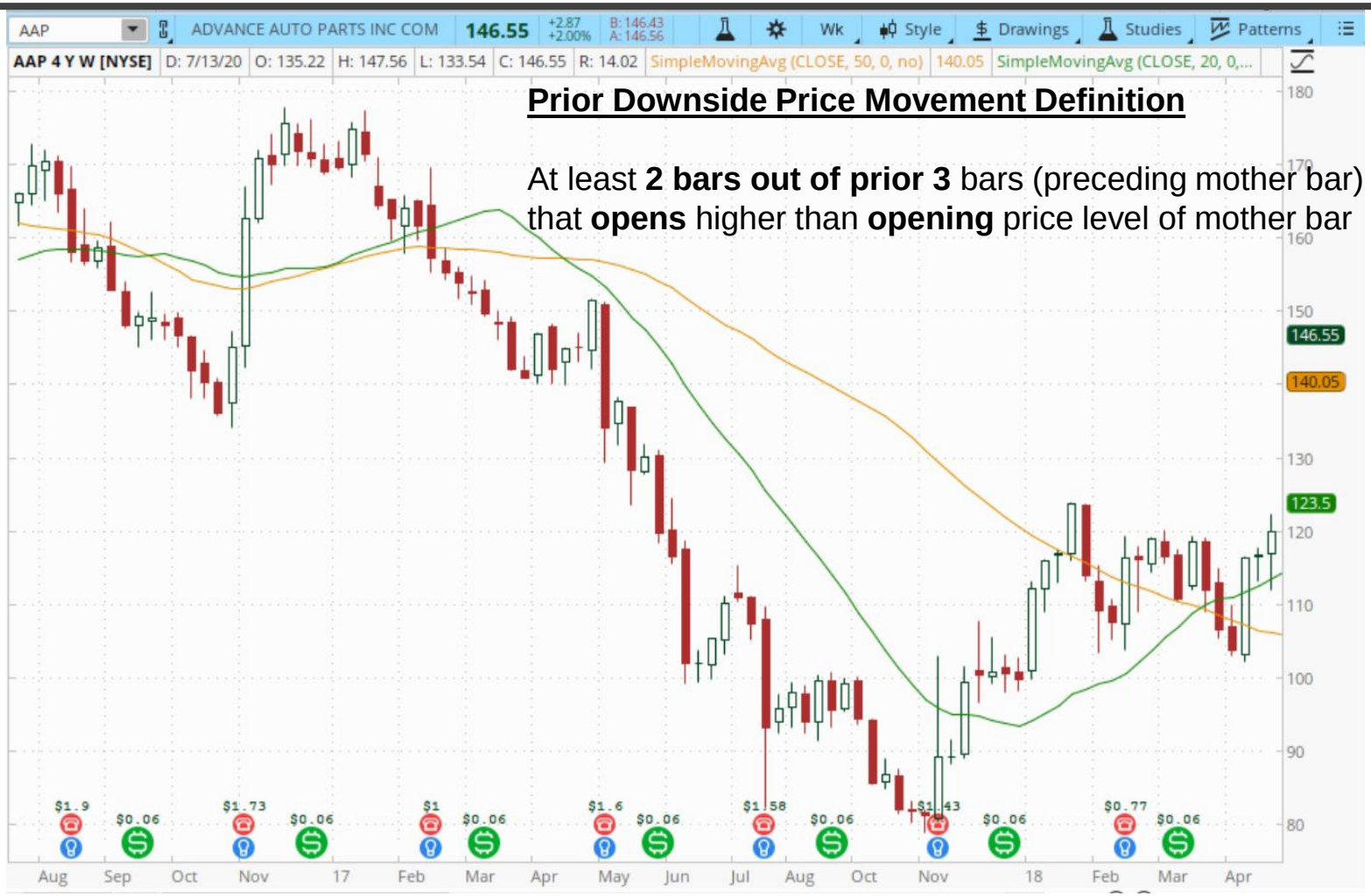
4.) Within **next 3 bars** after formation of IB, there must be a **break bar (BB)** that breach the mother bar **low**. Example if the mother bar low is $45.00, short entry should be taken once **break bar** hit $45.00.

Exit Rules

5.) SL at 50% of mother bar range or high of break bar. Trader's discretion based on "tightness" of entry and SL chosen.
6.) Target projection exit based on 1.5 RR. Use find target in PAM excel to determine size and exit upside target price.

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DOWNSIDE INSIDE BAR BREAK (IBB) FORMATION



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Upside Inside Bar Break Examples

UPSIDE INSIDE BAR BREAK (IBB) FORMATION



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Downside Inside Bar Break Examples

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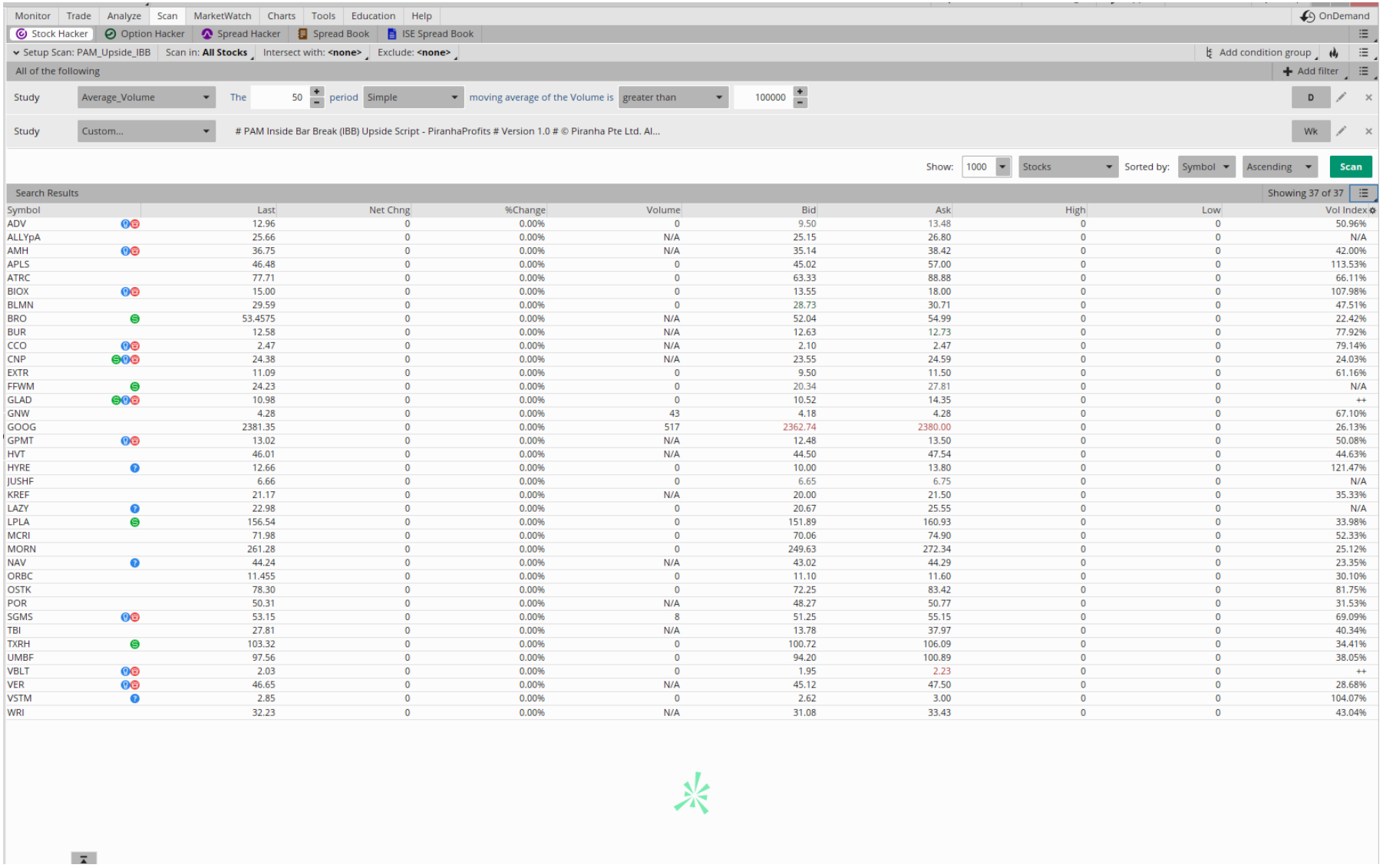
TC2000 SCRIPTS FOR INSIDE BAR BREAK (IBB) FORMATION



TC2000 SCRIPTS FOR INSIDE BAR BREAK (IBB) FORMATION



TOS SCRIPTS FOR INSIDE BAR BREAK (IBB) FORMATION



Symbol	Last	Net Chng	%Change	Volume	Bid	Ask	High	Low	Vol Index
ADV	12.96	0	0.00%	0	9.50	13.48	0	0	50.96%
ALLYpA	25.66	0	0.00%	N/A	25.15	26.80	0	0	N/A
AMH	36.75	0	0.00%	N/A	35.14	38.42	0	0	42.00%
APLS	46.48	0	0.00%	0	45.02	57.00	0	0	113.53%
ATRC	77.71	0	0.00%	0	63.33	88.88	0	0	66.11%
BIOX	15.00	0	0.00%	0	13.55	18.00	0	0	107.98%
BLMN	29.59	0	0.00%	0	28.73	30.71	0	0	47.51%
BRO	53.4575	0	0.00%	N/A	52.04	54.99	0	0	22.42%
BUR	12.58	0	0.00%	N/A	12.63	12.73	0	0	77.92%
CCO	2.47	0	0.00%	N/A	2.10	2.47	0	0	79.14%
CNP	24.38	0	0.00%	N/A	23.55	24.59	0	0	24.03%
EXTR	11.09	0	0.00%	0	9.50	11.50	0	0	61.16%
FFWM	24.23	0	0.00%	0	20.34	27.81	0	0	N/A
GLAD	10.98	0	0.00%	0	10.52	14.35	0	0	++
GNW	4.28	0	0.00%	43	4.18	4.28	0	0	67.10%
GOOG	2381.35	0	0.00%	517	2362.74	2380.00	0	0	26.13%
GPMT	13.02	0	0.00%	N/A	12.48	13.50	0	0	50.08%
HVT	46.01	0	0.00%	N/A	44.50	47.54	0	0	44.63%
HYRE	12.66	0	0.00%	0	10.00	13.80	0	0	121.47%
JUSHF	6.66	0	0.00%	0	6.65	6.75	0	0	N/A
KREF	21.17	0	0.00%	N/A	20.00	21.50	0	0	35.33%
LAZY	22.98	0	0.00%	0	20.67	25.55	0	0	N/A
LPLA	156.54	0	0.00%	0	151.89	160.93	0	0	33.98%
MCRI	71.98	0	0.00%	0	70.06	74.90	0	0	52.33%
MORN	261.28	0	0.00%	0	249.63	272.34	0	0	25.12%
NAV	44.24	0	0.00%	N/A	43.02	44.29	0	0	23.35%
ORBC	11.455	0	0.00%	0	11.10	11.60	0	0	30.10%
OSTK	78.30	0	0.00%	0	72.25	83.42	0	0	81.75%
POR	50.31	0	0.00%	N/A	48.27	50.77	0	0	31.53%
SGMS	53.15	0	0.00%	8	51.25	55.15	0	0	69.09%
TBI	27.81	0	0.00%	N/A	13.78	37.97	0	0	40.34%
TXRH	103.32	0	0.00%	0	100.72	106.09	0	0	34.41%
UMBF	97.56	0	0.00%	0	94.20	100.89	0	0	38.05%
VBLT	2.03	0	0.00%	0	1.95	2.23	0	0	++
VER	46.65	0	0.00%	N/A	45.12	47.50	0	0	28.68%
VSTM	2.85	0	0.00%	0	2.62	3.00	0	0	104.07%
WRI	32.23	0	0.00%	N/A	31.08	33.43	0	0	43.04%

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